Statement II: CORRECT—The insured receives a contract, called the insurance policy, which details the conditions and circumstances under which the insurer will compensate the insured. The amount of money charged by the insurer to the policyholder for the coverage set forth in the insurance policy is called the premium.

If the insured experiences a loss which is potentially covered by the insurance policy, the insured submits a claim to the insurer for processing by a claims adjuster. The insurer may hedge its own risk by taking out reinsurance, whereby another insurance company agrees to carry some of the risk, especially if the primary insurer deems the risk too large for it to carry.

27. Statement I: CORRECT—The service sector is an important part of the economy. For example, in Australia in 2007, 85% of all businesses were in the service sector. In 2009 there were more than nine million people employed in the service sector in Australia, which was 86% of all jobs. In India, there has been a huge growth in service sector businesses which made up 55% of India's GDP in 2006—2007. Computer software businesses in India are increasing at a rate of 35% per year.
Statement II: CORRECT—Many sector businesses focus on what is called the "knowledge economy". They need to keep ahead of other businesses by understanding what their customers want and being ready to give it to them quickly and at low cost.

28. Statement I: CORRECT—Internet access is plagued by issues related to quality and reliability, outages, call drops and weak signals. The current definition of broadband of 512 kbps speed is inadequate and not in line with the expected rise in demand in the future. Existing networks have been strained by limited spectrum availability and usage, affecting the provision of quality services.
Statement II: CORRECT—A significant portion of our population does not have access to devices such as laptops, computers, smartphones, etc. Digital literacy in India is estimated to be less than 10% of the population. Currently, most digital content is in English. However, a KPMG-11 report suggested that "Nine out of every ten new internet users in India over the next five years are likely to be Indian language users".